الطالب الأكاديمي
THE ACADEMIC STUDENT

Faculty of Business Studies

ACC302

Auditing Theory and Practice

MTA

2025-2026 / Spring Semester

14 – April – 2026

Version B

Number of Exam Pages: 2 (including this cover sheet)	**Time Allowed: 1.5 Hours**

Instructions:

- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
- This is a **CLOSED** book examination. NO documents of any kind are allowed.
- You **MUST** answer the questions using only the answer booklets provided
- You **MUST** return the examination paper together with your answer booklets.

Do **NOT** write your answers in pencil except graphs/sketches

Students are **NOT** allowed to use any type of dictionary or mobile phones during the examinat

Students are allowed to use ***non-programmable*** calculators only (if needed).

Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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ANSWER ALL THREE OF THE FOLLOWING QUESTIONS

Question 1: (30 marks)

LMN Company wants to ensure that its financial statements are accurate, its operations are efficient, and it complies with laws and internal policies. The company hires a CPA to examine different aspects of its business.

Explain the three types of audits a CPA can conduct with examples.

Question 2: (35 marks)

While auditing GHI Electronics, the auditor encounters several unusual transactions and incomplete documentation. To ensure an accurate audit, the auditor must maintain professional skepticism.

In this context, identify the six key characteristics of professional skepticism that the auditor should apply during the audit.

Question 3: (35 marks)

A CPA, John, is asked to audit a company where he has a close personal relationship with one of the managers. During the audit, he also feels pressure from management to adjust certain figures to meet targets.

Identify the seven types of threats to compliance with the AICPA Code of Professional Conduct that could affect John's objectivity and professional judgment, and explain.

End of Questions

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